



Salary Policy Management – Kuul Cafe

Team 1

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Talent Rewards

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1. Executive Summary

Kuul Café's current reward system has significant structural weaknesses that undermine fairness, transparency, and competitiveness. Internal analysis shows that base salaries are not aligned with store size, performance, or commercial results. Instead, pay outcomes are largely driven by seniority, resulting in situations where Big store managers earn more than Extra Large managers, low performers earn more than high performers, and bonuses are distributed almost uniformly regardless of sales achievement. These issues weaken motivation, damage perceived equity, and create governance challenges.

External market analysis reveals that Kuul Café is materially under-market across all store sizes, with base salary gaps ranging from approximately 31% to 47% relative to 2025 P50 benchmarks. The most severe underpayment occurs in Extra Large stores, posing significant potential attraction and retention risks for the roles with the highest responsibility and business impact.

To address these challenges, the reward system was redesigned, anchored in a clearly defined reward philosophy using the "Tune the Music" framework. The target state emphasizes job-based pay, performance orientation, transparency, centralized governance, and a primarily fixed pay structure complemented by a modest variable component.

The redesigned reward system consists of four key elements. First, market-aligned salary bands were introduced using a point-factor job evaluation and 2025 P50 market midpoints, restoring a clear hierarchy across store sizes. Second, a simplified Short-Term Incentive (STI) set at 7% of base salary was implemented, linking variable pay exclusively to store sales achievement to correct the existing bonus disconnect while limiting exposure to uncontrollable factors. Third, a salary increase matrix was designed to guide base pay progression based on performance and compa-ratio, prioritizing underpaid roles while preserving band integrity. Finally, a multi-year adjustment approach is recommended to correct significant pay gaps gradually and sustainably.

Together, these measures shift Kuul Café from a legacy, membership-based reward system to a job-based, performance-oriented, and market-aligned model. While full alignment will require multiple cycles, the proposed structure establishes a robust and defensible foundation for restoring internal equity, strengthening performance differentiation, and improving long-term talent sustainability.

2. Objective & Methodology

The objective of this project is to redesign Kuul Café's reward system to improve internal fairness, external competitiveness, and alignment with business strategy. The analysis follows a structured, data-driven approach. First, internal pay patterns were examined to assess alignment with store size, performance, and seniority. Second, external market benchmarks were updated to 2025 levels and used to evaluate competitiveness. A point-factor job evaluation established a clear job hierarchy, which led to the development of market-aligned salary bands. The desired reward philosophy was defined using the "Tune the Music" framework to guide design choices. Based on this, a new short-term incentive (STI) model and a salary increase matrix were developed. Finally, a simulation was conducted to assess the impact of the proposed structure on internal equity and cost, ensuring the solution is both effective and sustainable.

3. Internal Analysis

This section evaluates whether Kuul Café's current reward system is internally coherent and fair. The focus is on the alignment between base salary, job size, performance, sales outcomes, bonus allocation, and seniority.

3A. Pay Alignment by Store Size *(See Exhibit 1)*

When we grouped and analyzed the data by store size, the internal pay structure does NOT follow expected job-size hierarchy (small < medium < big < extra large). A key finding was that Big stores average €69,125, while Extra Large averages €57,779. This is the opposite of what internal equity should look like, because XL stores represent the highest job scope and complexity. Even more problematic: the XL store also shows the strongest signals of contribution (Outstanding performance score and the highest sales achievement), yet it is still paid below Big on average.

3B. Performance Rating and Base Salary Misalignment *(See Exhibit 1)*

We also found that low performers are earning more than high performers. The pivot by performance rating shows that employees rated the lowest are paid the most. "Not good enough" performers are earning the highest salaries (€78,669), "Outstanding" performers are earning significantly less (€58,501) and the "Very good" performers are earning the lowest (€51,819).

There is no positive relationship between pay and performance showing that high performance is not rewarded through base pay, while low performance is not penalized. As a result, base salary progression does not reinforce performance expectations and fails to differentiate contribution meaningfully.

3C. Unclear Bonus Allocation *(See Exhibit 2)*

Bonus payouts show minimal differentiation across stores, regardless of sales achievement or performance. Bonus amounts are largely clustered around €2,150, with only one exception at €3,100, despite significant variation in sales results and store complexity.

For example, stores close to or above target receive the same bonus as stores materially below target. This confirms that the current bonus system does not function as a performance incentive, but rather as a near-uniform entitlement, offering no motivational or differentiating effect.

3D. Seniority Effects

While it is clear that performance does not influence salary, there is also evidence that instead the pay is based on seniority. Plotting Base Salary (y-axis) against Seniority / Tenure (x-axis) produces a clear upward trend: salaries rise as tenure increases, even when store size and performance do not justify it. *(See Exhibit 3)*

There is a statistical relationship between tenure and base salary ($r = 0.58$) supporting the diagnosis that pay progression is membership-based rather than job or performance based. This creates low individual and internal equity resulting in feelings of unfairness between how the individual is performing and the pay which causes problems for engagement and retention.

3E. Internal Analysis Conclusion

- Store size does not predict salary
- Performance does not predict salary
- Bonus allocation is unclear
- Seniority strongly predicts salary

Kuul Café's internal pay structure is broken, inequitable, and inconsistent. Current salaries do not follow job size, performance, or results; they largely reflect tenure and historical arrangements. This weakens transparency, damages fairness perceptions, and makes current pay outcomes difficult to justify or govern. This clearly calls for restructuring and aligning the compensation system.

4. Reward Philosophy

The internal analysis highlights fundamental misalignments in Kuul Café's current reward system. To address these issues in a coherent and sustainable way, it is first necessary to define the reward philosophy that should guide future decisions. This section defines the current and ideal reward orientations using the 'Tune the Music' framework based on the organization's context and business strategy, providing a clear foundation for the redesigned compensation model.

Here is a comparison of how the company operates today based on the dataset and case narrative, and target positions aligned to fairness, transparency, industry standards and Kuul Café's performance concerns. (*See Exhibit 4*)

a. Internal vs. External Equity: *Score shift - Current (0) → Ideal (-1)*

Currently there is no clear philosophy (0), pay has no stable anchor: neither internal structure (job evaluation, consistent bands) nor external alignment (market medians). The outcomes look arbitrary across similar shops, which undermines fairness perceptions and makes pay hard to justify.

In the ideal placement, there should be slight internal-focus (-1). Pay should be driven first by internal equity: job size hierarchy + clear salary bands. Then, market data becomes a calibration tool (to stay competitive), not the decision-maker that overrides internal logic.

b. Fixed vs. Variable: *Score shift - Current (-5) → Ideal (-1)*

Kuul Café's system is currently fully fixed-oriented (-5). Variable pay exists in name but not in effect: the bonus is largely flat and not meaningfully tied to results, so managers experience compensation as almost entirely fixed.

Ideally, compensation will remain primarily fixed but also include variable (-1). Base salary remains the core for stability in retail, but variable pay becomes meaningful and performance-linked (enough to reinforce behaviors without creating volatility). The variable should be designed to be simple and controllable (ex., a modest % opportunity tied to objective results).

c. Performance vs. Membership: *Score shift - Current (+4) → Ideal (-2)*

Right now, placement on the tuning board is purely membership-based (+4). Performance ratings do not reliably affect salary movement, bonus differentiation, or progression. Tenure and legacy negotiation patterns dominate outcomes, creating situations where lower performers can earn more than stronger performers.

Instead, there should be more of a shift towards performance (-2). Performance should materially influence progression within the band and bonus outcomes. The tilt is strong but not extreme because some store results are affected by factors managers cannot fully control (store location, footfall, etc.)

d. Job vs. Individual Pay: *Score shift - Current (+2) → Ideal (-3)*

The pay is currently individually driven (+2). Pay differences are explained more by individual history (negotiation, legacy, seniority) than by job value. Similar roles show large dispersion, which signals a weak job architecture

Ideally, pay should be more job-based (-3). It should be anchored in job size and grade (store size levels) and delivered through structured salary bands. Individual negotiation stops being the “hidden system” behind the compensation.

e. Egalitarianism vs. Elitism: *Scores - Current (+2) → Ideal (+2)*

For this lever, there should be no adjustment (+2). Kuul Café already operates with distinct layers and different reward mechanics across roles (store, regional, HQ). The target state keeps a tiered architecture (still moderate elitism), but improves fairness and clarity within the shop manager population through consistent bands and rules.

f. Below vs. Above Market: *Score shift - Current (-2) → Ideal (0)*

Kuul Café is currently below market (-2). Many shop manager salaries sit below competitive market levels, without evidence of an intentional “lag” strategy. This creates attraction and retention risk, especially for higher-responsibility shops.

Even though the company doesn’t necessarily need to attract top talent they should be at least at market match (0). Kuul Café should target P50 market alignment by store size which keeps them competitive, sustainable, and defensible. The goal is not to “lead market,” but to stop losing talent due to avoidable underpayment.

g. Monetary vs. Non-Monetary: *Score shift - Current (+3) → Ideal (+1)*

Currently, there is more reliance on non-monetary (+3). Because money is not used strategically (flat variable, unclear salary logic), rewards accidentally lean on non-monetary factors like stability and legacy arrangements.

The ideal state would be slightly non-monetary (+1) as cash rewards regain their role as a clear signal for fairness and performance, while still recognizing that retail retention also depends on non-monetary factors (stability, development, scheduling consistency). This would help money matter again, but it does not become the only “language” the company speaks.

h. Open vs. Secret Pay: *Score shift - Current (+3) → Ideal (-3)*

Right now at Kuul Cafe, the pay is secret (+3). Managers report they don't understand how pay decisions are made. Lack of visible rules makes outcomes feel arbitrary, which breaks down trust and perceived equity.

Movement towards an open pay (-3) would be beneficial to create transparency and accountability. Publishing the architecture such as bands, midpoints, progression rules and bonus mechanisms creates this open pay.

i. Centralized vs. Decentralized: *Score shift - Current (+3) → Ideal (-4)*

The decisions currently are highly decentralized (+3). There is no consistent HR governance which produces large, hard-to-defend inconsistencies across similar roles.

With a shift to a strongly centralized governance (-4), HR will be able to apply consistency across all shops. Central governance prevents renegotiation drift and ensures fairness, consistency, and repeatability year to year.

5. Variable Pay Design: Short-Term Incentive (STI)

The internal analysis showed that Kuul Café's current bonus system is largely flat and disconnected from sales results, providing limited differentiation and weak motivational impact. To address this, variable pay of **7%** is redesigned as a Short-Term Incentive (STI) that reinforces commercial outcomes while preserving fairness and controllability.

Rationale for Variable Pay Level (7%) - Market data indicates an implied variable pay opportunity of approximately 9.4% at P50 for retail shop managers. However, store-level sales outcomes at Kuul Café are significantly influenced by uncontrollable factors such as footfall, store location, neighbourhood economics, and tourism flow. A higher variable proportion would therefore amplify unfairness, increase income volatility, and penalize capable managers in structurally weaker locations. In line with Kuul Café's slightly fixed pay orientation (-1), a moderate 7% STI target is adopted, deliberately below market. This level is sufficient to reinforce results while limiting the impact of uncontrollable factors and protecting internal equity.

Alignment with Reward Philosophy

The STI design is fully aligned with the "Tune the Music" conclusions:

- **Fixed vs Variable (-1):** Base pay remains the dominant reward component; STI provides limited but meaningful annual differentiation.
- **Performance vs Membership (-2):** Commercial outcomes are rewarded through STI, while leadership and behavioural performance are addressed via base salary progression.
- **Job-Based Pay (-3):** All shop managers receive the same STI percentage; job size differences are reflected exclusively in base salary bands.
- **Openness (-3):** A single KPI and uniform percentage ensure clarity, consistency, and ease of communication.

STI Structure and Mechanics

- **Grant:** 7% of base salary for all shop managers
- **Vesting Period:** One performance year (January–December)
- **Pay Period:** February of the following year
- **Settlement:** 0% payout in case an employee leaves before payout period

Performance Measure

The STI is based on a single KPI: Store Sales Achievement (%), ensuring simplicity and objectivity. This ensures STI focuses solely on annual commercial execution. (See Exhibit 5 for Payout logic and formula)

The redesigned STI rewards short-term commercial outcomes, while base salary progression (governed by the salary increase matrix) rewards sustained leadership and behavioural performance. This clear separation avoids double counting, improves transparency, and strengthens the overall coherence of Kuul Café's reward architecture. In summary, Kuul Café's STI links variable pay directly to sales performance, correcting the current bonus disconnect while maintaining fairness, simplicity, and alignment with the company's reward philosophy.

6. External Market Analysis

6A. 2025 Market Reference

To assess external competitiveness, the 2024 market survey for Shop Managers was updated to 2025 levels using the expected +2.7% market movement. Kuul Café adopts a P50 (market-match) policy. To arrive at the base salary 2025 midpoints for Kuul Café, the variable chosen (7%) was subtracted from market Total Cash P50.

6B. Market Gap Findings

Kuul Café's current base salaries are below market in every store size. The underpayment is structural and not isolated to one segment.

- Extra Large stores: average base salaries of approximately €57–60k compared to a market midpoint of €105,960, representing a gap of 45%. This is the most severe misalignment and poses a significant retention and capability risk.
- Big stores: average base salaries of €68–69k versus a midpoint of €91,642, resulting in gaps of 35% to 40%. Despite appearing strong internally, these roles remain under-market externally.
- Medium stores: average salaries of €52–54k compared to a midpoint of €80,204, implying gaps of ~34% to 38%, which may hinder attraction of experienced managers.
- Small stores: average salaries of €47–50k against a midpoint of €69,873, showing gaps of ~31% to 38%.

Overall, Kuul Café pays 31–47% below market, depending on store size.

This level of under-market positioning creates several risks:

- Attraction risk, particularly for Medium and Extra Large stores.
- Retention risk, as strong performers may exit to better-paying competitors.
- Performance risk, as leadership stability and motivation may be undermined.
- Equity risk, since the externally coherent hierarchy (Small → Medium → Big → Extra Large) is not reflected in current pay levels.

To address these challenges while maintaining affordability, Kuul Café should adopt a Market Match (P50) policy for shop managers. This approach ensures competitiveness, talent sustainability and equity, and aligns with the company's reward philosophy.

6C. External Analysis Conclusion

Kuul Café's 2024 base salaries are significantly below 2025 market P50 levels across all store sizes (gaps -31% to -47%). Extra large roles are the most severely underpaid which creates a strategic risk.

2025 market base midpoints should be the anchors for new salary bands, rather than relying on the distorted internal salaries. Given the large size of the gaps, the correction should be executed through a multi-year realignment supported by the salary increase matrix (discussed later in the report).

7. Salary Structure

The salary structure is being redesigned to correct the internal inequities and external misalignment identified in the analysis.

Establishing Job Hierarchy

To define internal job value, a point-factor job evaluation was conducted for shop manager roles. The approach is grounded in established job evaluation theory (responsibility, skill, effort, and impact) and reflects the dimensions used in widely applied frameworks such as Hay and Mercer.

For store management, the compensable factors were identified (*See Exhibit 6*). We then applied the weighted factors to each shop size when grading them and created the final job hierarchy. The internal rank, therefore, is Extra Large (4), Big (3), Medium (2), Small (1). This hierarchy forms the foundation for our salary band structure (*See Exhibit 7*)

Salary Band Design

Based on Kuul Café's redesigned reward philosophy (structured job-based pay, moderate elitism, performance orientation, market matching, and strong transparency), we recommend salary bands with a 40% spread ($\pm 20\%$ around the midpoint). This width offers sufficient room for performance-driven progression while maintaining clarity, fairness, and strong central HR governance. The 40% spread is also consistent with market norms for retail managerial roles and ensures internal consistency across store sizes. (*See Exhibit 8 for the redesigned salary bands*)

This new structure ensures:

- Internal equity: The band hierarchy directly reflects job value (Small < Medium < Big < Extra Large).
- External competitiveness: Midpoints are anchored to 2025 P50 market benchmarks.
- Progression room: A 40% spread provides sufficient space for development and performance-based progression.
- Transparency: Clear min–mid–max ranges support communication and understanding.
- Governance: Centralized band design prevents ad hoc or seniority-driven pay outcomes.

8. Individual Equity Analysis - Compa-Ratio

We then conducted an individual equity analysis by comparing each shop manager's base salary to the midpoint of the relevant band.

- 27 of 35 managers are Below Band (<80%)
- 8 managers (23%) are Within Band (80-120%)
- 0 managers are Above Band (>120%)

Insights by Store Size

- Extra Large stores: The one extra large store is Below Band
- Medium stores: 13 of 16 managers are Below Band, making this the largest affected group numerically.
- Small stores: 8 of 9 managers are Below Band, indicating significant proportional underpayment.
- Big stores: 5 of 9 managers are Below Band and 4 are Within Band, confirming that even internally “high-paid” roles remain under-market.

9. Salary Increase Matrix

In this section, we constructed the salary increase matrix to define how individual salaries progress within the new salary bands. Its purpose is to correct historical underpayment, reinforce performance differentiation, and preserve the integrity of the band structure. The matrix applies to base salary only.

Base pay increases are determined by two dimensions - Performance Rating and Compa-Ratio Position (See Exhibit 9 for the Salary Increase Matrix).

Justification of the Salary Increase Matrix

- **Performance differentiation:** High performers receive higher increases, accelerating progression toward midpoint, while “Not Good Enough” performance results in 0% increases, reinforcing accountability.
- **Equity correction through compa-ratio:** Employees below **80% compa-ratio** receive the highest increases. This is critical given that **77% of managers are currently below band**.

- **Controlled progression near midpoint:**
Increases for employees between **101–120% compa-ratio** are deliberately smaller (2–5%) to prevent overshooting market-aligned midpoints and protect band integrity.
- **Future treatment of above-band employees:**
Although no employees are currently above band, **symbolic increases (0.5–2%)** are included to avoid pay stagnation. Structural pay growth should occur through **role progression**, not further base pay increases.

This matrix helps gradually correct systemic underpayment without budget shock, strengthens a performance-oriented pay culture and preserves the credibility of bands.

Total Cost impact with the increases = +6.4%

10. Multi-Year Pay Adjustment Plan

The scale of underpayment identified in the analysis cannot be corrected in a single year without creating financial pressure and new internal inequities. Immediate full alignment would also undermine the performance-based nature of base pay progression. Kuul Café therefore should adopt a multi-year adjustment approach, using the salary increase matrix as the primary correction mechanism. This phased approach ensures that pay alignment improves in a controlled, fair, and financially sustainable manner, while preserving the integrity of the salary band structure.

11. Conclusion

The analysis demonstrates that Kuul Café’s current reward system is structurally misaligned. Base salaries are driven primarily by seniority rather than job value or performance, bonus payouts are disconnected from sales results, and pay levels are significantly below market across all store sizes. These issues have created internal inequities, weakened performance differentiation, and potential increased attraction and retention risk.

To address these challenges, Kuul Café should implement a redesigned reward architecture built on five core elements:

- **Market-aligned salary bands** anchored to 2025 P50 benchmarks, restoring a clear job-based hierarchy across store sizes.
- **A simplified, sales-based Short-Term Incentive (STI)** set at 7% of base salary, correcting the current bonus disconnect while limiting exposure to uncontrollable factors.
- **A performance and equity-driven salary increase matrix**, ensuring underpaid employees progress faster while preserving band integrity.
- **A multi-year adjustment approach**, allowing gradual correction of significant pay gaps in a fair and financially sustainable manner.

The redesigned reward framework positions Kuul Café to compete effectively for managerial talent while restoring internal equity and reinforcing a sustainable performance culture.

12. Exhibits

Exhibit 1: Analysis of Internal Equity (Performance, Sales, Store Size)

Row Labels	Average of Performance Score	Average of Sales Achievement Percent	Average of Base Salary
Big	3	90%	69,125
Extra Large	4	96%	57,779
Medium	3	89%	53,610
Small	3	90%	49,508

Exhibit 2: Unclear Bonus Allocation

Row Labels	Average of Bonus	Average of Base Salary
Good enough	2,150	53,112
Not good enough	2,150	78,669
Outstanding	2,236	58,501
Very Good	2,150	51,819

Exhibit 3: Positive Correlation Between Base Salary and Seniority ($r = 0.58$)



Exhibit 4: Reward Philosophy - Current vs. Ideal

Current Placement

Scale	Internal	Fixed	Performance	Job	Equal	Below	Monetary	Open	Central
-5		KC							
-4									
-3									
-2						KC			
-1									
0	KC								
1									
2				KC	KC				
3							KC	KC	KC
4			KC						
5									
Scale	External	Variable	Membership	Indiv	Elitism	Above	Non-mon	Secret	Decent

Ideal Placement

Scale	Internal	Fixed	Performance	Job	Equal	Below	Monetary	Open	Central
-5									
-4									KC
-3				KC				KC	
-2			KC						
-1	KC	KC							
0						KC			
1							KC		
2					KC				
3									
4									
5									
Scale	External	Variable	Membership	Indiv	Elitism	Above	Non-mon	Secret	Decent

Exhibit 5: Payout Logic and Formula

Payout Logic:

- **Threshold:** <90% of sales target leads to 0% payout
- **Target:** 100% of sales target leads to 100% payout
- **Cap:** 150% payout for extraordinary performance
- **Curve:** Linear between threshold and cap

Formula: STI payout = Base Salary $\times$ 7% $\times$ Sales Achievement Payout %

Exhibit 6: Compensable Factors

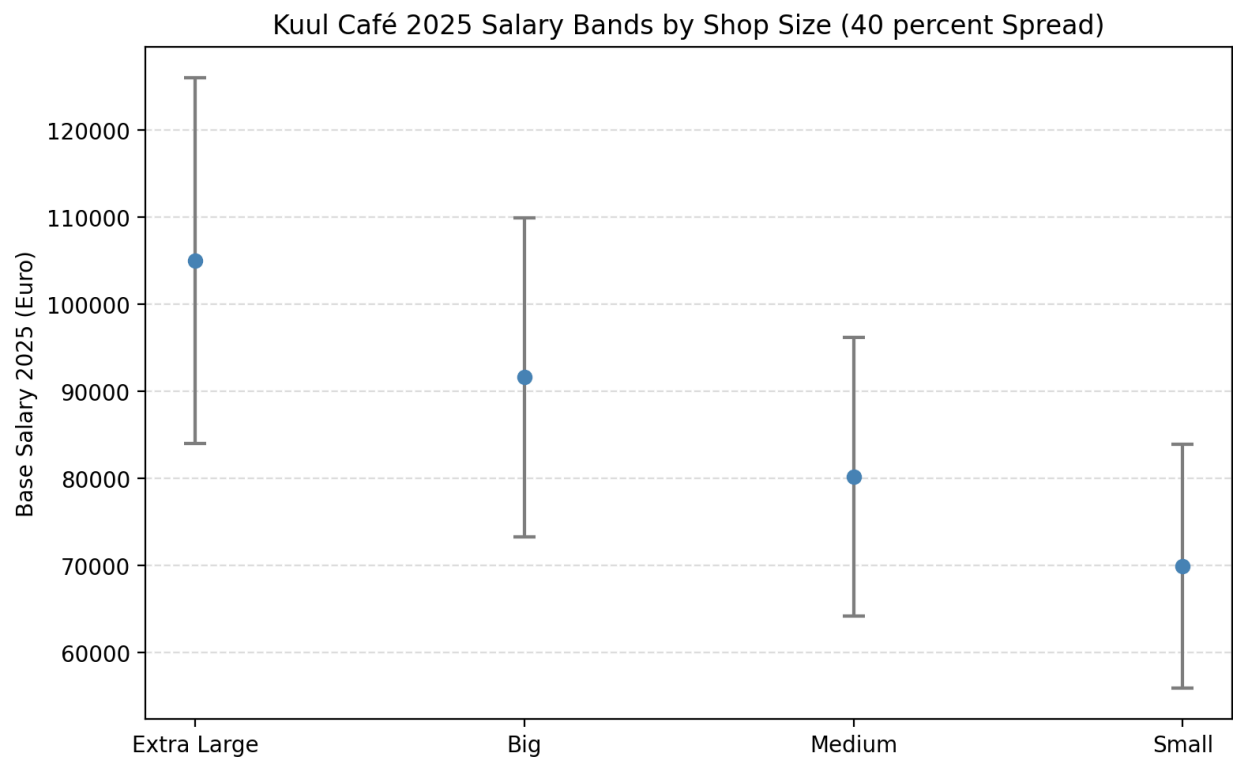
S.No.	Compensable Factor	Description	Weight
1	Business/Operational Complexity	Size of shop, operational density, product range etc	25%
2	People Management	Number of staff, supervision, conflict resolution, coaching	25%
3	Financial Responsibility	Sales volume, Budget accountability, cost control	30%
4	Customer & Brand Impact	Customer Experience, Store reputation	10%
5	Problem Solving	Level of decision making, independence in resolving issues	10%

Exhibit 7: Applying the Factors to Each Shop Size & Final Job Hierarchy

Shop Size	Business/Operational Complexity (25%)	People Management (25%)	Financial Responsibility (30%)	Customer & Brand Impact (10%)	Problem Solving (10%)	Total
Small	1	1	1	1	1	5
Medium	2	2	2	2	2	10
Big	3	3	3	3	3	15
Extra Large	4	4	4	4	4	20

Shop Size	Internal Rank
Extra Large	4
Big	3
Medium	2
Small	1

Exhibit 8: Redesigned Salary Bands



Store Size	Minimum (80%)	Midpoint (P50)	Maximum (120%)
Small	55898	69873	83848
Medium	64163	80204	96245
Big	73314	91642	109970
Extra Large	84768	105960	127152

Exhibit 9: Salary Increase Matrix

Performance Rating/Compa Ratio	<80% (under paid)	80-100% (low band)	101-120% (high band)	>120% (Above Band)
Outstanding	10%	8%	5%	3%
Very Good	8%	6%	3%	1%
Good Enough	5%	4%	2%	0.5%
Not Good Enough	0%	0%	0%	0%